Article

The Electoral Determinants of State Welfare Effort in the U.S. South, 1960–2008

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Abstract

This article examines the impact of electoral politics on state welfare policy in the post-civil rights era South. In contrast to an emerging consensus concluding that southern African Americans materially benefited from rejoining the electorate, this study suggests that higher black registration rates actually reduced states' poverty relief efforts. In the years immediately following the Voting Rights Act (VRA), when Democrats controlled state government, the significant negative relationship between the size of the black electorate and state welfare generosity was moderated to some extent by high levels of partisan competition. In such cases, Democrats ostensibly chose a "core" targeting strategy of pursuing lower-income votes and had the institutional wherewithal to purchase these votes with policy concessions. Overall, however, the liberal "Downsian" policy response to African American mobilization was dominated by an antiredistributive response. In the South, welfare policies were relatively conservative vis-à-vis the other states during Jim Crow and became more so in response to black voting.

Keywords

welfare policy, public policy, southern politics, American political development, representation, racial politics, identity/group politics

Did de facto reenfranchisement and the return of competitive politics benefit African Americans in the post-Jim Crow South? The answer to this question is decidedly unclear, despite (or perhaps because of) the fact that it is informed by no less than four theories of elite policy setting. These theories stress countervailing but not necessarily

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exclusive electoral dynamics—two that predict "yes," electoral forces should have benefited African Americans policy-wise, and two predicting they did not.

Setting the others aside for now, I will focus first on the paradigm that currently dominates southern scholarship, which predicts that blacks benefited from regaining suffrage. The case for this affirmative prediction draws on standard theories of democratic accountability and the experience of newly enfranchised groups in many other contexts. Following Gilens and Page (2014), I will refer to this as the leftward "Downsian" prediction, in reference to the spatial logic of electoral competition popularized by Anthony Downs (1957) and the direction of the policy shift it is thought to have generated in the South.

The Downsian model predicts that candidates in a competitive two-party system are driven to adopt centrist policies, and, if the median voter were to change following an expansion of the electorate, electoral competition between the candidates would drive them to move policy toward the median of the new voters.[1] Whether they employ a spatial metaphor or not, the basic logic of the Downsian result underlies many authors' intuitive notion that elections provide an accountability mechanism benefiting groups that are able and willing to vote (e.g., Piven and Cloward 2000).

Many questions remain unanswered about the consequences of black voting in the South. Nevertheless, a consensus is forming around a number of studies suggesting that a leftward Downsian response dominated after the 1960s and pulled policy in a "pro-black," redistributive direction. Studies supporting this view have considered the distal economic consequences of black voting (e.g., Gavin Wright 2013) and the proximal policy consequences in Congress (e.g., Lublin 1997), at the state level (e.g., Cascio and Washington 2013; Husted and Kenny 1997), and at the local level (Keech 1968).

Focusing specifically on state welfare policy, this article questions the emerging consensus. In stark contrast to existing work, it shows that the influx of black voters into the southern electorate did not generally produce the redistributive response suggested by the conventional Downsian account. In fact, I find that increases in the size of the black electorate were associated with substantial *decreases* in state welfare spending.

Specifically, this article uses state-level voter registration data for the period from 1960 to 2008 to quantify African Americans' notional electoral power, and a variety of state budget items to examine its effect. The dependent variables include an expansive set of state appropriations encompassing Aid for Families with Dependent Children (AFDC), Medicaid, and the state-funded portion of Supplemental Security Income (SSI).

I make two kinds of comparison to evaluate the long-run impact of African American political participation. First, it is well known that southern welfare benefits were historically low in the national context, in large part because southern congressmen gutted federal legislation at the inception of the U.S. welfare state so that the South could better manage regional labor markets (e.g., Katznelson 2013; Quadagno 1988).[2] Less well known is the fact that the southern and nonsouthern states began in 1960 from a position of relative parity with respect to other common welfare effort

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metrics, including total per capita welfare expenditure. After the 1960s, however, the South fell far behind the U.S. average in these metrics as well, despite the fact that voting rights legislation of the 1960s introduced millions of ostensible fiscal liberals into the southern electorate.

Although it is suggestive, this cross-regional comparison is clearly not sufficient to identify the impact of black mobilization. I, therefore, employ a more sophisticated regression strategy that utilizes a general error correction model (ECM) and time-series cross-sectional variation among the southern states to identify the short- and long-term effects of changes in black registration, controlling for changes in southern poverty and other potential confounds. My key findings, in order of significance, are as follows.

First, the proportion of state registrants African American had a statistically significant and substantively large *negative* effect on the southern states' average per capita welfare expenditure; the ratio of welfare spending to state GDP; and the ratio of welfare to total expenditures. A 10-percentage point increase in the share of state registrants African American, for instance, leads to a remarkable $509 *reduction* in the estimated equilibrium level of annual per capita welfare spending in Democratically controlled states after 1980. This would reduce the average 2008 expenditure by 20.6%.

Second, in the two decades after the Voting Rights Act (VRA), state-level competition between Democrats and the resurgent GOP (Grand Old Party) produced more generous welfare policies in sessions during which Democrats controlled the state legislature and/or the governorship. In such settings, Democrats ostensibly had the means and the motive to follow a "core" targeting strategy by courting black voters with more favorable policy, and they appear to have done so. Although statistically significant, the liberalizing influence of competition was insufficient to offset the dominant reactionary response to black mobilization. The competition effect was evident through the 1970s, then it evidently disappeared.

These findings are important because they cast substantial doubt on the emerging consensus about the policy impact of black participation after Jim Crow. Significantly, the results also suggest that two neglected theories of elite policy setting should be resurrected as plausible explanations for the dominant southern trends.

The first theory, with many exponents in the broader literature, is the well-known "racial threat" model, which posits that whites who live in areas with large minority populations develop antagonistic racial attitudes that translate into less liberal policy (cf. Key 1949). Blalock's (1967, 147) original formulation in particular identifies two sources of interracial friction: economic and political competition. The latter fricative source plausibly explains the reactionary patterns documented here.

If one sticks to the Downsian framework as a model of policy change after large suffrage extensions—a context where it has had a rather good predictive record—the southern states' regressive response could be explained by a large *rightward* pull from reactionary white voters overwhelming a smaller *leftward* pull exerted by black registrants, which forced equilibrium policy in a conservative direction. Radcliff and Saiz's (1995) work suggests that reaction to black voting helps explain conservative welfare

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patterns in the broader national context, but the political threat thesis has been substantially overshadowed in recent southern scholarship. It deserves reconsideration.

If the political threat thesis has been overshadowed recently, then the "partisan competition" model, focusing on the strategic response of Democrats to new threats on the right from the GOP, has been totally ignored. As I discuss below, my results indicate that V. O. Key's (1949) famous thesis that the South's "have-nots" should benefit from sustained two-party competition—once the subject of a vital literature in state politics—is consistent with early post-VRA spending patterns but not later ones.

This article is organized as follows. The next section distills the central predictions of the theories described above, notes some possible contingencies, and summarizes their testable implications. The following section reviews the existing evidence regarding the policy consequences of black voting in the South, focusing on the inconclusiveness of previous southern welfare studies. The article subsequently describes the data and empirical method, presents the statistical results, discusses their relationship to the focal models of southern policy setting and concludes.

Theoretical Electoral Forces Affecting Southern Welfare Policy

Table 1 summarizes the four theoretical dynamics examined in this study concerning the welfare implications of electoral and partisan change in the post-VRA South. The first two theories focus on the link between states' welfare policy and the distribution of preferences among eligible voters, specifically as these relate to the electorate's racial composition.

Both of these theories rely on a Downsian spatial model of policy setting, and both assume that blacks, as a group, are further left than whites on a unidimensional redistributive spectrum (favoring more redistribution). The Downsian model predicting more liberal post-VRA policy, however, assumes the states' median voters would have moved left as the black electorate grew, whereas the version predicting a conservative policy shift assumes the opposite, per the racial threat model (Blalock 1967).

A few points will clarify my tests of the two spatial hypotheses. First, in his seminal formulation, Downs (1957) describes competition between two "teams" vying for office, each thought of as a unitary actor. In our case, suffice it to say, the states vary considerably with respect to the relative strength of the governor and the legislature in setting the budget, but both institutional actors play a role.[3] This article looks at the net result of state budget processes on welfare spending levels, as have virtually all related studies, and treats the state Democratic and Republican parties as unitary purposive actors. In this sense, it is particularly faithful to Downs's model.

Second, to quantify leftward Downsian pressure, I will use the share of registered voters African American. In the early sample especially, when blacks could not easily register, this variable (and the black share of actual voters, a variable for which data are unavailable) better captures the theoretical electoral construct than does the black share of the general population, the proxy used in virtually all previous work.

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Table 1. Summary of Theoretical Forces Acting on State Policy in the Post-VRA South.

Theoretical response	Alternative nomenclature	Policy prediction	Possible contingencies
Leftward Downsian response	"Dynamic representation" (Stimson, Mackuen, and Erikson 1995)	The larger the relative size of the registered black electorate, the more liberal policy should be.	Prediction assumes the median shifts left. Blacks need not form a majority but must be sufficiently numerous to offset white backlash.
Rightward Downsian response	"Racial threat" (Blalock 1967)	The larger the relative size of the registered black electorate, the more conservative policy should be.	Prediction assumes the median shifts right, so white voters respond conservatively as black electorate grows.
Leftward competition response	"Opponent push" (Hood, Kidd, and Morris 1999)	Democrats should move left to secure their base as the GOP becomes more competitive.	Prediction may depend on whether competition incentivizes the pursuit of "swing" or "core" voters.
Rightward competition response	Centripetal competition model	Democrats should move right to attract white swing voters as the GOP becomes more competitive.	Prediction may depend on whether competition incentivizes the pursuit of "swing" or "core" voters.

Note. GOP = Grand Old Party; VRA = Voting Rights Act.

Finally, notice that the two Downsian dynamics in Table 1 are countervailing, but they are not mutually exclusive. In fact, the net policy response to the black electorate is the product of the "pro-black" electoral response and the "racial threat" counter-response, and as previous scholars have noted, these generally interact with majoritarian institutions to produce a nonlinear relationship between the size of the black electorate and policy liberalism (cf. Cameron, Epstein, and O'Hallaran 1996).

At low levels, the black electorate may engender little racial threat and thus allow liberal policy to prevail. As the number of black registrants increases, racial threat may lead to increasingly conservative policy until blacks are sufficiently numerous to determine election outcomes, after which we may expect more liberal policy as the black electorate increases further. Lublin (1997) and others looking at congressional policies have estimated this inflection point to lie at around a 40% black population share, higher than all observations in my post-VRA sample.[4]

Now note, there is also a second set of countervailing theories in Table 1 that focuses less on the policy preferences of the electorate and more on the competitiveness of the

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party system. One such theory, which Hood, Kidd, and Morris (1999) attribute to Downs (1957), predicts in the present context that threatened Democrats would have responded to electoral competition from upstart Republican state parties by moving redistributive policy right toward the GOP, to reduce the opposition's appeal to conservative whites.[5]

In contrast to this centripetal thesis, there is a centrifugal alternative, dubbed the "opponent push" hypothesis by Hood, Kidd, and Morris (1999), that traces its lineage to Key's (1949, 307) influential prediction that the return of competitive two-party elections in the South would encourage an "organized" politics and lead Democrats (and possibly the GOP) to pursue policies favorable to blacks and lower-income whites. In the "Discussion" section, I revisit Key's theory in light of my new evidence.

Existing Evidence

How well does existing evidence support our focal theories? Although the predictive power of the Downsian model has been questioned in constant turnout regimes (e.g., Bartels 2008; Gilens and Page 2014), it has fared much better as a model of fiscal change after large historical enfranchisements. Around the world, following woman's suffrage, the enfranchisement of the working classes, the introduction of compulsory voting, and so on, election-minded officials have substantially revised budgetary policies on both of sides of the government's ledger to win the support of new voters.[6]

Most recent literature suggests that the post-VRA South was not different. Husted and Kenny's (1997) frequently cited study of state welfare spending, for instance, forms the basis for much of the conventional wisdom in the economics literature concerning the policy consequences of black voting. The authors conclude that the removal of legal barriers induced a leftward shift in the southern states' median voters that increased welfare expenditure.

Cascio and Washington (2013) use a different, but also indirect, difference-in-differences strategy to measure the impact of black enfranchisement on the intrastate distribution of state-to-county transfers. The authors conclude the elimination of "literacy tests was accompanied by a shift in the distribution of state aid toward localities with higher proportions of black residents." Like Husted and Kenny, the authors do not directly measure black mobilization, which opens the door for various inferential threats.[7]

The preponderance of recent evidence in the political science literature further supports the view that black mobilization engendered liberal policy. At the state level, Fording's (1997) study of welfare generosity, for instance, concludes that the size of the black population interacted with the incidence of violent protest to produce a positive impact on the number of welfare recipients, because it signaled a willingness of African Americans to press their interests at the polls. Similarly, Yates and Fording (2005) conclude that large black populations place an "electoral constraint" on GOP state lawmakers, leading them to implement less racially biased incarceration policies.

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At the U.S. congressional level, numerous studies looking at the effect of black population size on the policies of southern members conclude there was a negative relationship between the black share of the district population and the conservatism of its member's voting record (e.g., Hood and Morris 1998; Lublin 1997). At the local level, Keech (1968) argues early advances in black voting improved municipal services in southern cities, and Keiser, Mueser, and Choi (2004) find that the incidence of locally administered sanctions on AFDC recipients in the Midwest decreases as African Americans' ostensible local voting power increases.

In contrast to the positive findings noted above, Radcliff and Saiz (1995) and Krueger and Mueller (2001) consider a measure of relative black-white turnout rates on states' per capita AFDC expenditures (i.e., black turnout%/white turnout%). While the research is not strictly Downsian because this variable does not account for the relative size of the black and white electorates, these two studies do indicate, suggestively, that increases in black/white turnout rates had a negative impact on AFDC expenditures.

Unfortunately, these studies are also of limited use for present purposes. Not only do they effectively ignore the relative number of black and white voters, the authors do not look at the South specifically, nor do they examine the pre-1980 period when the most dramatic increases in black voting took place. Nevertheless, their results lead the authors to somewhat radical conclusions.

In particular, Radcliff and Saiz (1995, 790) asked,

> why should African Americans choose to press their interests through the ballot box, when their participation may actually be counterproductive . . . our results clearly suggest that blacks as a group may have rational incentives to demobilize. If so, then our theoretical understanding of democratic practice may itself be in need of revision.

The ascendancy of the "leftist" Downsian perspective in southern scholarship has substantially displaced the "racial threat" model, although it still has many adherents in other fields. In particular, scholars looking at national samples in the post-1980 era find a negative relationship between racial diversity and state welfare generosity (e.g., Howard 1999; Matsubayashi and Rocha 2012) and a positive relationship between the size of states' black populations and the restrictiveness of their welfare regimes (e.g., Fellowes and Rowe 2004; Soss et al. 2001).

In the economics literature, Alesina and Glaeser (2004) attribute the divergence in the postwar welfare states of the United States and Western Europe to the interaction of political institutions and race. Their conclusions complement work by Alesina, Baqir, and Easterly (1999) regarding U.S. municipal expenditures on public goods, and state-level evidence from Poterba (1997) and Lind (2007) regarding education and welfare, respectively.

Racial threat studies such as these produce remarkably robust if somewhat puzzling findings. In general, they do not go far to identify the political versus nonpolitical sources of racial threat, by estimating the independent effects of the black share of the electorate and the general population, for instance (cf. Branton and Jones 2005; Glaser 1994).

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Data

This study employs pooled time-series cross-sectional data to examine the impact of electoral factors on annual state welfare effort in the 11 states of the former Confederacy during 1960 to 2008. Summary statistics and data sources are provided in the online appendix. Dollar denominated variables were converted to constant 2013 dollars using the Bureau of Economic Analysis's state and local government price index.

Dependent Variables

As in scores of previous studies, I assume that black voters, being economically less well off as a group, benefit from redistributive policy. So, my dependent variables are various measures of welfare generosity.[8] The premise of my Downsian tests are supported by the fact that blacks across the socioeconomic scale overwhelmingly favor more redistribution than whites (Johnson 2001; Wood 1990).

Which welfare variables should one look at? Previous work explores a variety of welfare metrics, including per capita expenditures on AFDC (Matsubayashi and Rocha 2012; Gerald Wright 1976); benefit levels for AFDC, and its successor, Temporary Aid for Needy Families (TANF; Berry, Fording, and Hanson 2003); TANF eligibility requirements (Fellowes and Rowe 2004; Soss et al. 2001); average welfare payment per recipient (Johnson 2001); and the relative "equity" of AFDC payments, defined as the percent of state income devoted to welfare (Hill, Leighley, and Hinton-Andersson 1995; Krueger and Mueller 2001, 172).

Most previous studies look at the post-1980 era when the House Ways and Means Committee began reporting state welfare parameters in its annual Green Book.[9]

The fiscal data analyzed in the present study were created from annual editions of the U.S. Census of Governments (COG) reports using standard budget categories defined by the Census Bureau. I use these data because they offer a consistent time series dating back to 1958 and a comprehensive measure of welfare spending.

One feature of the COG data is that state expenditures are classified by function, not program. Thus, specific programs such as AFDC or Medicaid may have portions of their appropriations compiled under different COG item codes, according to the purpose toward which they were spent. To provide a broad picture of state welfare efforts, I look at all payments made under the federal categorical public assistance programs. This includes SSI, AFDC/TANF, and Medicaid, other cash payments made by the state to low-income persons, payments to private vendors for welfare services, the construction of welfare institutions, and child services.[10]

Key Independent Variables

The focal independent variables in this study are the proportion of state registrants black, partisan control of state government, and the competitiveness of the state party system. Per the Downsian models, the "treatment" variable is the size of the black electorate, operationalized here as the proportion of registered voters African

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American. This is arguably the most direct measure of the black electorate, along with the proportion of actual voters black.[11] The rationale for using registration rather than turnout data is that the latter are not available until the 1980s when the Current Population Survey (CPS) started producing state-level estimates. That said, the proportion of voters black and the proportion of registrants are highly correlated. Moreover, as Parker's (1990, 7) study of Mississippi suggests, registration may be an even better variable for our purposes insofar as it was more easily tracked by officials and better captures blacks' potential electoral threat.

The trends in southern registration rates by race and the proportion of registrants African American are graphed in Figure A1 in the online appendix. Notice that the VRA of 1965 was particularly important for increasing black participation, but earlier mobilization efforts by groups such as the Voter Education Project (VEP), and subsequent events, notably the presidential candidacy of Jesse Jackson, played an important role in boosting black registration (Timpone 1995). Across the South, African American registration rates more than doubled during our sample, from 29.3% in 1960 to 74.0% in 2008.

From the perspective of Downsian-type models of policy setting that focus on the location of the median voter, it is important to note that participation rates among native whites also increased in the post-civil rights era, and millions of white immigrants joined the southern electorate (Polsby 2004, chap. 3). In 1960, the registration rate among whites in the South was 59% region-wide, but beginning in the 1980s, white registration rates regularly topped 70% in presidential election years. All told, the proportion of southern registrants black grew 84.9% in the sample, from 10.4% in 1960 to 22.3% in 2008, with the greatest changes occurring in Deep South states such as Mississippi, where the percentage of registrants black increased from 5.1% in 1964 to 27.1% in 1966.

The other key independent variables are partisan control of state government and interparty competition. To test for heterogeneous effects across the parties, I interact the main regressors with variables indicating unified control of the state legislature and the governorship by the Democrats and Republicans or divided government. To measure party competition, I use a standard metric in the literature known as a folded Ranney index, a moving average of the Democratic seat share in the state's upper and lower houses and the Democratic gubernatorial vote share, "folded" about 0.5 so that it ranges from 0.5 (*no competition*) to 1 (*perfect competition*). That is, $Competition_{st} = 1 - |0.5 - Ranney_{st}|$, where *Ranney* is the average described above. The averaging window was four years in the version of the index used in the regressions reported below.[12]

Control Variables

This study controls for a number of potentially confounding legislative and state demographic variables. First, note that the welfare appropriations studied here include "pass through" money from the federal government. The historical AFDC program, for instance, was based on a grant-in-aid system in which the federal government

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matched state spending. Depending on the state's ability to pay, the federal government provided 50% to 80% of the state's average AFDC cost per case, regardless of the number of cases.[13] To control for the income effect of federal subsidies, the regressions include total federal grants per capita in thousands of dollars (*Federal grants*) and the federal AFDC matching rate for the focal state-year (*Federal AFDC/TANF match rate*).[14]

A second important consideration is the passage of the Personal Responsibility and Work Opportunity Act (PRWORA). Bill Clinton signed the bill in 1996 in response to mounting dissatisfaction with the welfare system, with the hope that it would revive the Democrats' flagging support from working class voters by "changing welfare as we know it." PRWORA replaced the AFDC/Aid to Dependent Children (ADC) program, in existence since 1935, with TANF. The legislation instituted work requirements, replaced the AFDC entitlement with a five-year maximum eligibility, and changed federal contributions to a block grant system that gave states greater leeway to design eligibility. To control for this legislation, the regressions include an indicator *Post-TANF* that equals 1 beginning in 1997 (the first full year of implementation), and 0 otherwise.

State appropriations were also influenced by demographic, legislative, and other factors unrelated to black voting. I control for a set of variables similar to those in previous studies, including the state's real per capita income (*Per capita income)*, the proportion of the population over age 65 (*Prop. age 65+*), the proportion living in a metropolitan l area (*Prop. metropolitan*), the number of female-headed families with children under age 18 per 100 persons (*Female headed households*), and the lagged share of individuals below the poverty line (*Poverty prop.*), to help control for welfare demand and state capacity to provide high average benefits. *Retail wage*, the mean real monthly wage in the state's retail sector, is included to account for Moffitt, Ribar, and Wilhelm's (1998) contention that state welfare levels are set so as to disincentivize the poor from dropping out of the labor force and to promote equity between the nonworking and working poor.

Method

My analysis utilizes an error correction model (ECM) that captures the theoretical dynamics of welfare policy. State-of-the-art studies of state spending generally control for serial correlation using dynamic regressions with a single lagged value of the dependent variable and unlagged covariates. This is known as a partial adjustment (PA) model. I use an ECM instead for theoretical and practical reasons.

Theoretically, I argue that the total effect of change in the variables of interest are not likely to be observed the year after they occur. Rather, I presume there is an equilibrium welfare effort level for each state, denoted W_s, that depends on the size of the black electorate, partisan competition, the party that controls state government, and other state characteristics, denoted σ. For exposition, consider a simple version of the model where X_s represents a single independent variable. I assume the equilibrium relationship between welfare spending and X is defined by a steady state: $W_s = \sigma + \delta X_s$.

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Shocks to the key independent variables, including *Competition* and the *Proportion of registrants black*, presumably affect two kinds of change in welfare spending. Were an exogenous shock in $t - 1$ to increase the share of black registrants, say, we might expect an immediate impact on the next year's budget as state politicians scramble to respond. So, ΔW_{st} would react to ΔX_{st}. Here, I use the notation Δ to denote the first-difference operator, that is, $\Delta W_{st} \equiv W_{st} - W_{st-1}$. It is also likely that a (persistent) shock to the racial composition of the electorate would disturb the equilibrium relationship between X_s and W_s (per the Downsian model, for example), sending W_s to a new equilibrium corresponding to the new value of X_s. A general formulation of this model is the following single-equation ECM[15]:

$$\Delta W_{st} = \alpha + \beta_0 \Delta X_t - \beta_1 \left(W_{st-1} - \beta_2 X_{t-1} \right) + \varepsilon_t. \tag{1}$$

In this model, β_0 indicates the immediate, transitory "short-term effect" of an increase in X on W_s. β_1 is the "error correction term" that dictates how quickly welfare spending reaches its new post-shock equilibrium—note that if the ECM is an appropriate model, our estimate of β_1 should be significant and lie in the interval (−1, 0). The term β_2 in the ECM is known as the "long-run multiplier"; it represents the effect of a (sustained) one-unit increase in X on the equilibrium value of W_s. Simple algebra demonstrates the ECM can be rewritten in the following estimable form:

$$\Delta W_{st} = \sigma + \beta_0 \Delta X_t + \beta^*_1 W_{st-1} + \beta^*_2 X_{t-1} + \varepsilon_t. \tag{2}$$

The coefficients of the ECM in equation (1) are obtained using standard ordinary least squares (OLS) estimation of the equivalent representation in equation (2), where $\hat{\beta}_1 = \hat{\beta}^*_1$ and $\hat{\beta}_2 = -\hat{\beta}^*_2 / \hat{\beta}^*_1$. One complicating factor in estimating the ECM is computing the standard error of the ratio representing our point estimate of the long-run multiplier $(\hat{\beta}_2)$. Following Wickens and Breusch (1988, 191), I computed this using the Bewley (1979) transformation.

As alluded to above, standard practice in the state welfare literature employs a "partial adjustment" (PA) model, isomorphic to model (1) with the restriction that $\beta_1 - \beta_0 = 0$. De Boef and Keele (2008) argue such PA models are widely used as a fix for serial correlation, but without sufficient theoretical motivation. They find scholars rarely test the validity of the PA's implied restrictions on the general ECM and incorrectly interpret the model's dynamics. In our case, a series of F tests and Akaike Information Criterion (AIC) tests indicated that the implied restrictions significantly lowered the fit of our models, leading us to confidently reject the standard PA model (and static specifications). Thus, standard models risked misestimating the long-run effect of changes in the southern electoral environment.

In addition to providing a good representation of the dynamics I seek to evaluate, the general ECM also has other practical virtues. In particular, we are examining expenditures that exhibit consistent secular growth and are widely believed to be nonstationary (contain a unit root).[16] This is considered an extremely grave validity threat that could render conventional OLS methods useless, including the industry standard

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PA model (Wooldridge 2009, 636). In our setting, nonstationarity could make variables that trend with welfare appear statistically significant even if they bear no causal relationship.

With data such as ours, ignoring nonstationarity may be problematic because our panels are nearly 50 years long, and our tests are far from rejecting the null of nonstationarity in the dependent variables, indicating they may contain unit roots (or are long-memoried with roots near unity).[17]

Tests confirmed, however, that the first-differenced time series pass the appropriate stationarity test, instilling confidence that the ECM methodology is valid.[18] The final OLS models include state fixed effects and a separate linear trend term for each budget regime type (unified Democratic, unified GOP, or divided). I estimated the models using a heteroskedasticity and autocorrelation-consistent fixed effects estimator developed by Baltagi and Wu (1999) to address the serial correlation that remained in the data after first-differencing (which was diagnosed by a test due to Wooldridge 2010).

Empirical Analysis

This section reports my main empirical results. The online appendix also reconsiders the evidence in Husted and Kenny's (1997) widely cited study. There, I demonstrate that the authors' conclusion that black voting increased state redistribution does not hold if one quantifies the black electorate directly using registration data, restricts the sample to the South, or utilizes more controls and regression models consistent with current practices. Any of these brings the results of Husted and Kenny's estimation approach in line with the negative ones reported here.

Evidence Regarding Four Measures of State Redistributive Effort

The main results are found in Table 2. I considered several variations of the model with logged and unlogged variables (all of which produced similar results). I thus focus on the essentially "level-level" specification in the table because it makes the effects easily discernable without compromising the models' fit.[19] Most welfare studies report one-tailed tests but, given our discussion above, the policy effects of black registration and party competition are not obvious. So, the significance levels are based on more conservative two-tailed tests. For each dependent variable, I estimated the model twice: once on the 1960 to 1979 sample (the odd-numbered models) and once on the 1980 to 2008 sample (the even-numbered models). Dividing the sample in this way allows me to point out interesting changes over time.

As discussed in the previous section, the effects of the key explanatory variables were estimated using an ECM specification—using the lagged value of these covariates and the difference between their current and lagged value as regressors. For such variables, Table 2 reports estimates of the immediate short-term effect after a one-unit change in the covariate and the long-term effect of such a change on the steady state value of the dependent variable (assuming the shock is permanent). With reference to equation (2), these estimates are $\hat{\beta}_0$ (the coefficient on ΔX_t) and $-\hat{\beta}_2^* / \hat{\beta}_1^*$ (minus one

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Table 2. Estimates of Short- and Long-Term Effects of Electoral Variables on State Welfare Effort in the U.S. South, 1960–2008.

	Per capita welfare expenditure				Welfare to income ratio (%)				Welfare share of total spending (%)				Total per capita expenditures			
	(1) 1960–1979		(2) 1980–2008		(3) 1960–1979		(4) 1980–2008		(5) 1960–1979		(6) 1980–2008		(7) 1960–1979		(8) 1980–2008	
	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM
Prop. registrants Black																
Democratic unified[a]	−39.4	−298.2*	−857.6	−5,088.2**	−0.5	−1.0†	−1.9	−14.1**	−3.2	−19.6**	−5.4	−78.2**	170.3	640.7†	−401.8	539.3
Divided government[a]	168.9	365.1	−1,345.5†	−5,469.5**	1.0	2.4†	−3.3	−13.7**	−0.3	−12.4	−10.1	−61.8**	1,328*	1,934.5**	−920.5	−688.4
GOP unified[a]	—	—	−1,304.2	−2,561.4**	—	—	−3.3	−3.9*	—	—	−6.8	−38.4**	—	—	−1,310.2	1,297.9
Competition																
Democratic unified[a]	1,725.7**	1,011.7**	−871.7	−1,072.6**	8.8**	5.2**	−3.2	−3.5**	43.0†	41.6**	−21.0	−4.5	3,251.2*	36.5	1,120.9	−471.8†
Divided government[a]	1,723.0**	857.0**	−555.0	−175.3	8.8**	4.4**	−2.2	−0.7	43.1†	38.5**	−16.1	8.6*	3,029.1*	−190.0	1,226.2	−350.5
GOP unified[a]	—	—	−361.1	−600.8†	—	—	−1.8	−2.6**	—	—	−14.8	1.5	—	—	−1,402.8	−638.5
Trend term																
Democratic unified	14.4*	—	10.7†	—	0.07*	—	0.02	—	0.6*	—	0.3**	—	50.0**	—	0.3	—
Divided government	12.0†	—	4.4	—	0.06*	—	0.003	—	0.6*	—	0.2†	—	47.6**	—	1.0	—
GOP unified	—	—	2.7	—	—	—	0.0007	—	—	—	0.2	—	—	—	0.1	—
Election year fixed effect																
Democratic unified	−2.4	—	−13.7	—	−0.001†	—	−0.04	—	−0.2	—	0.2	—	21.3†	—	−38.5†	—
Divided government	−9.3	—	8.8	—	−0.02	—	0.03	—	−0.005	—	0.3	—	−37.6	—	−1.6	—
GOP unified	—	—	−54.9	—	—	—	−0.1	—	—	—	0.3	—	—	—	−123.4*	—
Control variables																
Ln(Federal grants)[a]	589.0**	1,361.1**	290.2*	710.4**	2.7**	6.2**	0.8*	1.2**	6.2	26.2**	4.4†	−4.8*	2,164.8**	2,561.3**	176.4	2,127.7**
Ln(Personal income)[a]	−188.5	228.7	−1,640.3*	4,735.5**	−3.3**	−0.8	−8.1**	12.3**	2.4	−6.1	−46.0**	73.3**	−1,868.0**	679.7	1,433.6†	2,955.6**
Ln(Retail wage)[a]	278.8*	−729.0**	1,133.6**	1,946.6**	1.1*	−2.4**	2.8*	3.4**	10.7*	−5.2	14.9*	34.7**	335.1	173.1	1,038.8*	612.9*

(continued)

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Table 2. (continued)

	Per capita welfare expenditure				Welfare to income ratio (%)				Welfare share of total spending (%)				Total per capita expenditures			
	(1) 1960–1979		(2) 1980–2008		(3) 1960–1979		(4) 1980–2008		(5) 1960–1979		(6) 1980–2008		(7) 1960–1979		(8) 1980–2008	
	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM	SRE	LRM
Federal match rate[a]	0.5	8.1**	37.0**	74.6**	0.003	0.03**	0.1**	0.3**	0.0009	0.2**	0.6**	1.3**	0.05	−6.0*	21.0*	30.4**
Prop. in poverty[a]	199.1	1,514.8**	1,402.2	−131.8	0.4	8.08**	3.8	−2.2	1.8	43.3**	22.4	117.2**	483.6	1,038.5†	1,107.1	−9,444.4**
Prop. Black	811.3	−2,631.3**	17,260.0*	−8,974.1**	1.8	−11.0**	50.8*	−27.0**	59.4	−72.2**	248.0†	−152.2**	−686.8	−1,576.0	12,825.6	−15,456.7
Post-TANF	—	—	−136.8**	—	—	—	−0.4**	—	—	—	−3.0**	—	—	—	−53.3	—
Female head households	−71.5	—	129.8*	—	−0.6*	—	0.4*	—	−1.8	—	0.9	—	−502.9**	—	72.1	—
Prop. metropolitan	165.8	—	51.7	—	1.6†	—	0.3	—	16.0*	—	−12.5	—	−473.2	—	1,047.9†	—
Prop. over 65	−3,964.5**	—	−6,883.8**	—	−14.5**	—	−15.8*	—	−191.9**	—	−105.1*	—	−1,944.0	—	−348.1	—
Error correction term	−0.319**		−0.275**		−0.335**		−0.247**		−0.491**		−0.269**		−0.697**		−0.425**	
Constant	1,490.4		−8,558.0**		6.1		−17.4**		23.3		−135.2**		−511.3		−4,707.5**	
R^2	.425		.484		.417		.452		.390		.392		.533		.459	
N	220		308		220		308		220		308		220		308	

Note. The table reports estimates of the SRE and LRM of the variables in the ECM described in the text, produced using the heteroskedasticity and autocorrelation-consistent estimator developed by Baltagi and Wu (1999). The sample includes the 11 states of the former Confederacy. Odd-numbered models report estimates based on the 1960–1979 sample. The even-numbered models were estimated on the 1980–2008 sample. All dollar denominated variables are in 2013 dollars. SRE = short-run effect; LRM = long-run multiplier; TANF = Temporary Aid for Needy Families; ECM = error correction model; GOP = Grand Old Party.

a. Indicates that the variable was estimated with an ECM specification—that is, the regression included both the lagged and first-difference of the variable. All other continuous variables were lagged one period.

Two-tailed significance denoted as follows: †$p < .1$. *$p < .05$. **$p < .01$.

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times the coefficient on X_{t-1} divided by the coefficient on W_{t-1}). All other continuous explanatory variables were lagged one period.

The main findings are these: (1) Change in the proportion of registrants black did not impact state welfare expenditures immediately, but it did have a substantively large *negative* impact on states' long-term equilibrium welfare effort; (2) Prior to 1980, during sessions when Democrats had unified control of state government (85% of the subsample) or shared control (15%), increases in the state's partisan competitiveness precipitated significantly higher long-term welfare effort, consistent with Key's (1949) famous thesis; (3) There was a structural break evident by the early 1980s, however, after which the liberalizing competition effect was greatly reduced and the antiredistributive backlash to black mobilization significantly increased; and (4) The estimated effects of the control variables are in the expected direction, and most are significant.

Focusing on the controls first, consistent with previous work, increases in the state's total federal grant receipts and state GDP had a positive impact on expected long-run welfare levels.[20] In the later sample, the poverty rate, federal AFDC/TANF matching rate and retail wage had a significant positive long-run multiplier as well. The last finding is consistent with Moffitt, Ribar, and Wilhelm's (1998) claims about labor market disincentives and political pressure to keep welfare benefits in line with the prevailing wage rate.

States evidently reduced welfare spending after PRWORA, consistent with the fact that work requirements and time limits pushed a record number of recipients off the rolls, and states with more citizens over 65 had lower spending, consistent with the conventional wisdom that seniors effectively lobby for lower taxes (cf. Poterba 1997). There is also evidence of a positive linear trend in welfare growth across all partisan regimes (due in large part to Medicaid growth) and evidence of electoral spending cycles. In unified GOP regimes, total state spending falls an expected $128 in election years (column 8), an estimated $55 of which comes from welfare cuts (column 2).

Now consider the variables of primary interest. I find no immediate impact from change in the racial composition of the electorate, but there is evidence of a substantial long-run effect, particularly after the 1970s. According to the estimates from the 1960 to 2008 sample, the expected long-term effect of a 10-percentage point increase in the share of registrants African American is a reduction of $509 in per capita welfare spending in Democratically controlled states. Were this hypothetical change followed by an unbroken spell of unified GOP control or divided government, the corresponding decrease in welfare spending would be $256 and $547 per annum, respectively.[21]

To put the results in a different perspective, in 2008, annual per capita welfare spending in Georgia was $2,148 and $2,924 in the non-South (up from $269 and $246, respectively, in 1960). Were one to entertain a counterfactual similar to Radcliff and Saiz (1995), assuming no other changes, these results suggest that a complete demobilization of black registrants in Georgia in 2008 would increase the state's per capita welfare spending by $801 real dollars by 2016 (because the GOP retained unified control). This would make the Peach State more generous than the non-South average, as it was in 1960.[22]

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The significant negative long-run impact of black registrants is robust across the other welfare spending metrics in Table 2. Models 3 and 4 estimate the ratio of welfare expenditures to income, a measure of welfare "equity" studied elsewhere (Krueger and Mueller 2001; Lind 2007). Models 5 and 6 examine the welfare share of total state expenditures (Husted and Kenny 1997). Sizable black electorates significantly decrease the estimated equilibrium level of each.

Note, I do not find that black registrants had a durable effect on total state spending, a general metric of "state activism" used elsewhere (Radcliff and Saiz 1995). In the 85% of observations in the pre-1980 sample with unified Democratic government, a 10 percentage point increase in the black registrant share (1.5 times the average increase during 1960 to 1980) produces an estimated $64 increase per capita in the equilibrium size of the state budget, and three times more under divided control. After 1980, the effect is statistically indistinguishable from zero.

The second key finding pertains to partisan competition. In the first part of the sample, interparty competition exerted a liberalizing influence, consistent with V. O. Key's (1949) prediction. The mean value of the Ranney index climbed from 0.55 to 0.69 during 1960 to 1980. According to my estimates, this had the effect of increasing welfare spending by $142 per person in Democratic states and $120 when the parties split power.

Crucially, however, Table 2 indicates a substantial structural break occurred by the early 1980s—the results are robust to various sample restrictions—that significantly increased the antiredistributive response to black mobilization and reversed the sign of the competition effect. If anything, greater interparty contestation produced smaller welfare budgets after 1980. The next section discusses possible explanations.

Finally, relative to previous studies, these results offer a more precise picture of the mechanisms underlying the "racial threat" phenomenon because they include both the proportion of state residents black and the proportion of registrants black. The fact that *both* variables are negative suggests that the perceived threat posed by African Americans stemmed from their political participation as well as their relative frequency in the general population. This updates the standard "racial threat" finding that states with larger black populations have less generous welfare regimes (Gerald Wright 1976).

Robustness and Specification Tests

The main findings are robust to alternative specifications of the model and pass multiple specification tests. One concern is that my inferences are compromised by a "history" threat, some unmeasured factor negatively affecting welfare policy after the civil rights era. To mitigate this concern, I replaced the party-specific trend terms with year fixed effects and found this had not changed my conclusions, instilling more confidence that the effects are correctly attributed.

Several other tests increase our confidence in the results. Scatter plots of the residuals against the predicted values of the dependent variables show the expected random cloud and k-density plots of the residuals were normal looking, as were the QQ-plots.

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Ramsey-Reset tests and AIC tests failed to flag any obvious specification errors. The one set of estimates that were somewhat sensitive to alternative specifications were the coefficients in GOP unified sessions, which had a tendency to jump around when various lags of partisan control were added. This is likely due to the small *N* associated with these observations.

I paid special attention in the specification tests to the size of the black electorate. As noted in the theory section, authors find in other contexts evidence of a nonlinear relationship between African American population size and policy outcomes when the black share exceeds 40%, due to an interaction between racial threat and majoritarian elections. According to the AIC criterion and the "lrtest" for nested models in Stata, quadratic terms were empirically unjustified here.

Collinearity is also a potential concern because the share of registrants black and the population share black are closely related, and many of the variables trend together.[23] Fortunately, across all the models, the variance inflation factors (VIFs) of the differenced value of the two black shares were below 1.5 and 3.5, respectively. Some economic covariates had higher VIFs, closer to 10. Dropping variables is a possible strategy to reduce collinearity if they are orthogonal to those of primary interest, but the variables in question (real income, federal grants, retail wage) are theoretically important, and it is generally held that misspecification error is worse than collinearity (Arceneaux and Huber 2007). I thus used principal component analysis to reduce many variables to two dimensions and reestimated the model using the factor loadings, with similar results.

Discussion: Resurrecting the Racial Threat and Party Competition Models

My findings present two fundamental puzzles: how was the conservative welfare response to black mobilization sustained in political equilibrium? And why did Democrats evidently respond to partisan competition before the 1980s by increasing state welfare, then abandon this strategy in favor of a budget-cutting response?

Notice first-past-the-post elections imply minorities are not influential until they reach a near-majority if voting is racially polarized. Krueger and Mueller (2001) make this point regarding partisan coalitions, for instance. It is possible, therefore, that blacks never possessed sufficient mass to influence the median legislator, governor, and so on.[24] So, institutions could produce a zero-correlation between welfare spending and black registrants; but it is difficult to see how institutions alone could explain why more black voters would lead to strictly less welfare, as the above findings suggest.

An obvious thesis, with many adherents in the academic literature, is that whites' affinity for redistribution is negatively correlated with their states' black population. In our case, this "racial threat" hypothesis leads to questions about precisely *when* and *how* whites living among large black concentrations came to acquire their conservative views. Key's (1949, 8) observations regarding within-state variation in conservatism notwithstanding, pollsters from the 1950s *do not* find that whites in black areas of

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the South were any more conservative than other white southerners (although surveys do consistently find white southerners were significantly *less* fiscally conservative in the 1950s than their northern coracials).[25]

Variation in white demand for conservative policy, in other words, seems to be a direct consequence of the civil rights era, perhaps of black voting. This conclusion is consistent with Glaser's (1994) view that the particular form of *racial* conservatism in the Deep South was closely tied to politics and, in his interpretation, whites' perception that black political power was inversely related to their own: Deep South racism stems not "from an inherited, generalizable racist syndrome in the heavily black parts of the South . . . [rather,] whites [who] live in areas with greater proportions of blacks, perceive a stronger connection between black political gains and white political losses" (p. 35).

Many believe the 1960s "propelled politics in virtually every southern state several notches to the right on racial issues" (Klarman 1994). If this reactionary racial "backlash" is to explain my policy findings, it would need to extend to economic redistribution and relate positively to the size of the black electorate.

This brings up the "how" question: how exactly was the apparent political threat response activated? Scholars note post-VRA elite discourse evolved from explicitly racist messages toward fiscally conservative and racialized economic messages. Republicans after Nixon carefully calibrated their appeals to unify disaffected southerners and their national constituency. In the opposite camp, George Wallace eschewed his former redistributive platforms in favor of antiwelfarist populism, and later generations of Democrats, epitomized by Bill Clinton and the Democratic Leadership Council, borrowed much of his substance, if not his tone.[26]

So, did conservative ideologies flourish in states with larger black electorates because elites were more likely to make conservative appeals there? Or was conservatism an unprompted response on the part of whites who perceived more threat in states with blacker electorates? Scholars have investigated "bottom-down" versus "top-up" processes before in this context, but it may be worth another look given my specific findings regarding black registration (cf. Lee 2002).

The second puzzling aspect of my findings concerns the Democrats' apparent strategy reversal: before the 1980s, Democrats responded to GOP competition by passing more generous welfare budgets, as Key (1949) predicted, but favored the opposite response afterward. Key's competition hypothesis was sufficiently interesting to spawn many empirical tests, but it lacks the analytical precision to explain the Democrats' apparent strategic reversal.[27]

The most promising analytical approach to this question, I argue, conceives of welfare spending as a policy-targeting problem (cf. Barrilleaux, Holbrook, and Langer 2002). In this mold, we might ask, when would competition lead Democrats to court their "core" supporters rather than "swing" voters? Here, the "core" supporters would be lower class whites and blacks, and "swing" voters, moderate-to-conservative whites more easily poached by the GOP. Cast in this light, our puzzle relates to a large literature that might offer guidance.

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In fact, Cox (2010) and Smithies (1941) argue that the necessities of mobilizing their base and suppressing upstart competitors incentivize parties to pursue core-targeting. The notion here is that parties risk the loss of core supporters to abstention or upstarts if they move to centrist positions. Thus, as Downs (1957, 117) put it, a party's optimal spatial strategy depends on "how many 'extremists' [it] loses by moving towards the center compared with how many moderates it gains thereby."[28]

Certain aspects of this theory seem relevant for our welfare puzzle. Early on, blacks might have turned to the "upstart" GOP, which traced its lineage to Lincoln, after all, and was in fact more liberal on civil rights issues through the 1970s (Carmines and Stimson 1989). Early on, Democrats might also have feared upstarts in their primaries, particularly after the reforms that followed the McGovern-Fraser commission.

Per the Cox-Smithies logic, another reason Democrats may have led with a core-targeting welfare strategy is that African American turnout was significantly lower and more variable before 1980, and as previous studies in Mississippi suggest, it was also sensitive to the distribution of welfare payments (see Kernell 1973; Salamon and Van Evera 1973). Indeed, compelling nationwide studies by Ansolabehere and Snyder (2006) suggest targeted transfers are routinely used by state lawmakers to mobilize their supporters and are remarkably effective at increasing turnout.

How then could we rationalize the Democrats' apparent switch to the targeting of swing voters? Both the competition suppression and turnout-buying aspects of the Democratic calculus changed. In later years, as Frymer (2010, 8) suggests, blacks were less apt to threaten abstention or throw their support behind another party.[29] Indeed, blacks now vote at higher rates than whites in the South and are widely considered the most loyal demographic in U.S. politics. Furthermore, the Democratic Party elite reasserted control over party primaries, thereby reducing the threat of internecine competition that might otherwise pull Democrats to the left.

Conclusion

This article examined the impact of political change in the South on state welfare policies during 1960 to 2008. In contrast to previous work, I showed that the influx of African American voters and competitive politics did not produce the liberal public policy response suggested by many previous studies.

I made several specific points. First, by some meaningful metrics, minimal differences existed between the South and the other states before blacks voted in large numbers: in 1960, the average southern state spent more on public welfare than the average nonsouthern state relative to total expenditures, and only slightly less on a per capita basis.

Welfare appropriations grew much slower in the South than other sections, however, such that the former Confederates were spending much less at the end of the Reagan era – 30% less per capita basis in 1988. The interregional gap closed somewhat by the end of the sample but never fell below 18%, despite the fact that the South remained the poorest region and despite the fact that it contained by then a mobilized, redistribution-favoring black electorate that voted more consistently than whites (CPS 2012).

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In fact, my time-series cross-sectional analysis indicates that the black share of state registrants has had a significant *antiredistributive* effect on state welfare effort, controlling for exogenous change in southern poverty and numerous other validity threats. Before the 1980s, I find evidence that the conservative reaction to black electoral power was offset in competitive, Democratically controlled states, plausibly consistent with Key's (1949) famous hypotheses. Although it was statistically significant, however, the liberalizing competition effect was smaller than the antiredistributive "backlash" effect, and it changed sign in the 1970s.

The findings reported here thus conflict with the conventional wisdom regarding southern welfare established by Husted and Kenny (1997), the predictions of economic theorists about the policy implications of turnout (Meltzer and Richard 1981), and the experience of newly enfranchised groups in other contexts, including former slaves during Reconstruction (J. M. Kousser 1974) and women in the United States following the Nineteenth Amendment (Miller 2008).

Significantly, the results may also shed light on why redistribution tends to be negatively correlated with racial diversity. Across fields, many studies document this robust negative relationship but fail to offer a precise explanation for it (see Branton and Jones 2005 for a critique along these lines). Southern welfare spending patterns suggest political conservatism is not activated exclusively by mere exposure to minorities but responds at least as much to distinctly political mechanisms, in this case, African Americans' potential voting power (cf. Glaser 1994).

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Notes

1. The median voter result relies on a number of assumptions, of course, including unidimensional politics and voters with single-peaked preferences. Smithies (1941) and Hotelling (1929) deserve credit for developing the basic spatial model and Meltzer and Richard (1981) and others for extending it to explore income redistribution.
2. Average Aid for Families with Dependent Children (AFDC) benefits per recipient, for instance, have fallen sharply in the United States since the 1960s, but the South/North ratio has been stable. The South/North ratio of AFDC benefits was .56 in 1960 and .60 at our sample's end (cf. Wexler and Engel 1999).

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3. See T. Kousser and Phillips (2012) for a model of interbranch bargaining over budgets. See Gray, Hanson, and Kousser (2012, chaps. 10–12) for a general discussion of state budgeting.
4. Mississippi's black share was 41% in 1960, declined, and rebounded to 37% in 2008.
5. It is unclear if Downs would accept the attribution (his namesake model considered two evenly matched teams, not variable competition), but it is true that competition is what drives Downsian competitors toward their opponent in the median voter result.
6. See, for example, Lindert (2004) and Miller (2008).
7. Notably, Cascio and Washington's research design overlooks the fact that there was a large contemporaneous increase in white turnout (Polsby 2004, chap. 3). Moreover, one may argue the *level* of expenditures is of greater interest than the within-state distribution.
8. Classic studies in the welfare literature include work by Skocpol (1995), Piven and Cloward (1993), Quadango (1996), Lieberman (2001), and Gilens (2009).
9. Program-specific data are available from the 1980s. See Bailey and Rom (2004, 338).
10. The welfare expenditures studied here are comparable with those in Krueger and Mueller (2001) and Matsubayashi and Rocha (2012), but more expansive than the direct cash transfers studied elsewhere (e.g., Husted and Kenny 1997).
11. The state registration data come from the *Current Population Survey* and estimates compiled by the Voter Education Project (VEP) and reported in various U.S. Civil Rights Commission reports.
12. See Gray, Hanson, and Kousser (2012, 87–90) for details regarding Ranney indices.
13. Nationally, states covered roughly a third of Medicaid expenditures, half of AFDC expenditures, and 10% of payments for Supplemental Security Income (SSI) and its precursors (Rom 2012, 349).
14. This is the federal government's share of the costs of assisting AFDC recipients for the component subject to a variable matching rate across states. Prior to 1965, this is the matching rate applicable for per recipient monthly benefits exceeding $18 and below $32. After 1965, the matching rate applies to all AFDC benefits; see Berry, Fording, and Hanson (2003, 331).
15. See, for example, Davidson and MacKinnon (2004) or De Boef and Keele (2008) for a detailed technical discussion of the error correction model (ECM) framework. The model could be made more general still by including any number of lags on the dependent and independent variables.
16. Economists tend to think such variables are nonstationary (e.g., Westerlund, Mahdavi, and Firoozi 2011). Beck and Katz (2011) point out that some political variables, for example, vote shares that lie between 0 and 1, cannot be nonstationary, although shocks decay slowly, causing them to fail unit root tests. De Boef and Granato (1997) argue that near-unity roots may also induce spurious regressions. We thus use the ECM for theoretical and statistical reasons.
17. These authors used Levin, Lin, and Chu's (2002) test and rejected the null of nonstationarity. In our case, that test proved suspicious, as it was the only one indicating the dependent variables are stationary using the Stata command "*xtunit*."
18. The "*xtwest*" command in Stata was used to test cointegration. Further evidence comes from the fact that the error correction terms were highly significant. See Enns, Masaki, and Kelly (2014) for a lucid discussion and technical references.
19. Logging variables are usually justified on the grounds that they improve fit (Wooldridge 2009, 191). In our case, however, the R^2 was virtually unchanged across specifications.

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20. Because these covariates are logged, a 1% increase in their value would increase the expected value of the outcome by 0.01 $\hat{\beta}$. Thus, a 1% increase in federal grants would increase expected long-run welfare spending by $14.61 in Democratic states after 1980.
21. Democratic unified, divided, and GOP unified regimes represent 45.8%, 45.5%, and 8.8% of the post-1980 sample, respectively.
22. The error correction term is −0.275. So after *n* years, a $(1-0.275)^n$ share of the change remains to be phased-in. This is practically less than 5% for $n > 8$.
23. Due to Jim Crow, the correlation was 0.674, not particularly worrisome in itself.
24. Black voting power was further attenuated by gerrymandering, multimember districts, and other dilutive measures (Grofman, Handley, and Niemi 1994; Parker 1990).
25. See, for instance, Caughey (2015).
26. See, for example, Edsall and Edsall (1992) and J. M. Kousser (2010).
27. Did his redistributive prediction rely, for example, on the majority of whites and blacks developing a shared class-consciousness? Key's assumptions are vague. See Mayhew's (1988) essay on this topic. In many ways, it seems the lack of rigorous theory left scholars ill-prepared to make sense of the conflicting empirical tests of Key's thesis. See Barrilleaux, Holbrook, and Langer's (2002) discussion of the conflicting results.
28. Some may prefer to think of state spending in terms of a distributive model, as in Ansolabehere and Snyder (2006). We focus on the spatial representation because welfare transfers are not made to groups as such but depend on individuals' income, which implies the policy space is unidimensional (Meltzer and Richard 1981).
29. See Cox (2010, 350), however, for an argument that these threats are always credible.

Supplement Material

The online appendices are available at http://sppq.sagepub.com/supplemental.

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Author Biography

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Supplemental Appendix

1. Figure A1: Voter Registration Rates in the U.S. South, 1950-2010

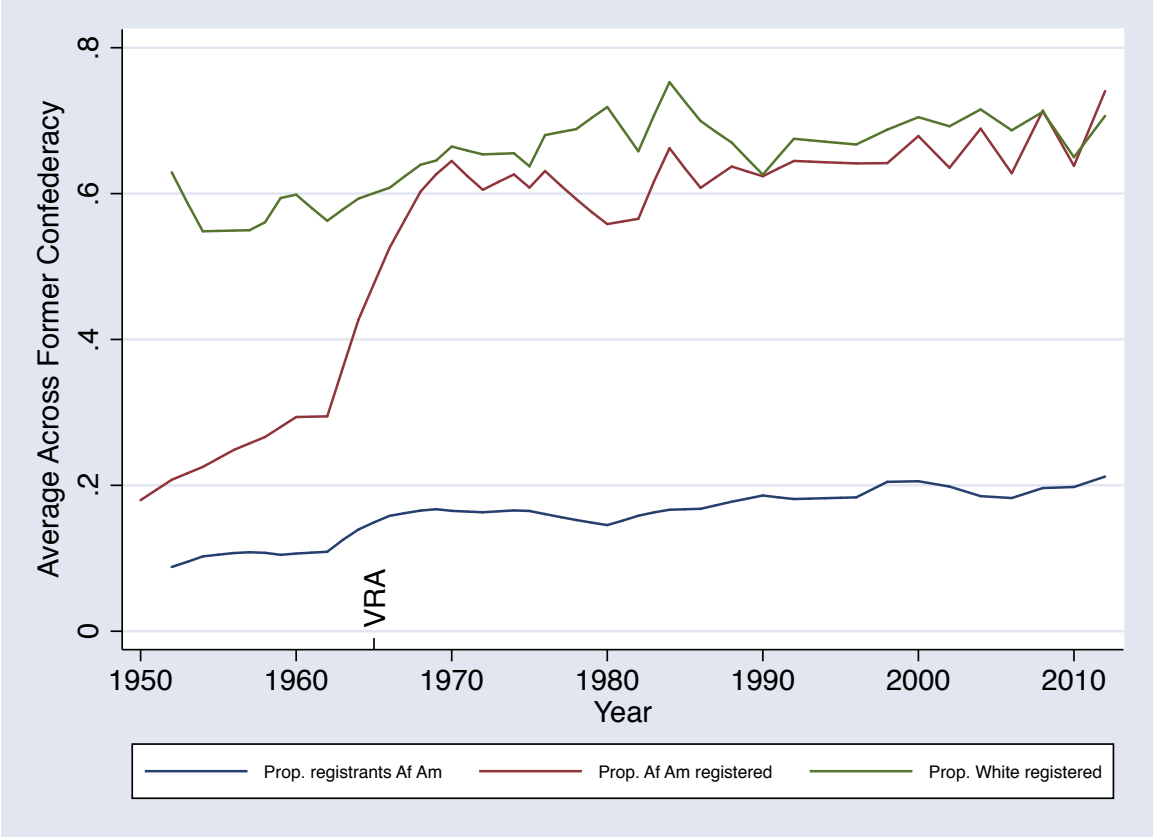
2. Table A1: Summary Statistics

3. Table A2: Data Sources

4. Section A3: A Reanalysis of Husted and Kenny's (1997) Evidence

5. Section A4: Notes on Census of Governments Data

Figure A1: Voter Registration Rates in the U.S. South, 1950-2010



The lines depict the average value of the respective registration rates across the eleven states of the former Confederacy. Sources: Post-1980 registration data come from the Current Population Survey. Earlier data were compiled from estimates produced by the Voter Education Project and published in various editions of the Statistical Abstract of the United States and U.S. Civil Rights Commission reports.

Table A1: Summary statistics

Variable	Obs	Mean	Std Dev	Min	Max
Per capita welfare expenditures	539	1,189	873	79	3,740
Welfare/income ratio	539	0.036	0.021	0.005	0.108
Per capita total state expenditures	539	3,696	1,383	1,436	8,086
Welfare prop. of state budget	539	0.284	0.129	0.050	0.738
Prop of registrants African American	539	0.187	0.068	0.044	0.375
Interparty competition	539	0.722	0.138	0.500	0.996
Per capita federal grants ($1000s)	539	1.086	0.673	0.289	6.657
Per capita income ($1000s)	539	30.114	8.808	10.946	49.892
Proportion Black	539	0.232	0.076	0.115	0.420
Proportion 65+	539	0.111	0.026	0.063	0.185
Fem. head household (per 100)	539	2.326	0.725	1.096	4.802
Proportion metropolitan	539	0.636	0.169	0.202	0.940
Poverty rate	539	0.195	0.077	0.083	0.549
Democratic control	539	0.620	0.486	0	1
Divided control	539	0.328	0.470	0	1
Republican control	539	0.052	0.222	0	1
Fed AFDC/TANF matching rate	539	66	7	50	83
Ave. monthly retail wage	539	2,280	187	1,813	2,843

The table reports summary statistics for the eleven states of the former Confederacy for the years 1960-2008. All dollar amounts denominated in constant 2013 dollars.

Table A2: Data sources

Variable	Source
Per capita welfare expenditures	Census of Governments[1]
Welfare/income ratio	Census of Governments[1]
Per capita total state expenditures	Census of Governments[1]
Per capita tax revenues	Census of Governments[1]
Welfare prop. of state budget	Census of Governments[1]
Prop of registrants Black	Statistical Abstract of the United States Population Survey, Voter Education Project
Per capita federal grants	Census of Governments
Per capita income ($1000s)	Census of Governments
Proportion Black	Statistical Abstract of the United States
Proportion 65+	Statistical Abstract of the United States
Fem. head household (per 100)	Statistical Abstract of the United States
Proportion metropolitan	Statistical Abstract of the United States
Poverty rate	U.S. Census Bureau[2]
Party control of state government	Klarner (2013) [3]
Fed AFDC/TANF matching rate	Berry et al. (ICPSR #1294) Urban Institute Welfare Rules Database[4]
Ave. monthly retail wage	Bureau of Labor Statistics[4]
Interparty competition	Klarner (2013) [3]

All data used in this study along with replication files are available at the authors' website and the journal's data repository (http://dataverse.org/).

Location of online data:
(1) http://www2.census.gov/pub/outgoing/govs/special60/.
(2) http://www.census.gov/hhes/www/poverty/data/historical/people.html
(3) https://dataverse.harvard.edu/dataset.xhtml?persistentId=hdl:1902.1/22519
(4) http://anfdata.urban.org/wrd/
(5) http://www.bls.gov/oes/estimates_88_95.htm

A3. A Reanalysis of Husted and Kenny's (1997) Evidence

Table A3 reconsiders the evidence in Husted and Kenny's (1997) influential study, demonstrating that the authors' findings are not robust to changes in the model. Most significantly, adding the proportion of registrants black to their model leads one to conclude that African American mobilization had a negative, not positive, effect on state welfare efforts.

Columns 1 and 4 reproduce the results that led the authors to conclude the passage of federal voting rights legislation in the 1960s moved the median voter left in the southern states and increased redistributive state expenditures.[1] The sample in these regressions covers 1950-1988 and includes all states in the contiguous U.S. except Minnesota and Nebraska (because they did not have partisan legislatures). Dollar amounts are denominated in real unlogged 1982 dollars. The regressions include unreported state and year fixed effects.

As discussed in the main text, Husted and Kenny do not directly measure the size of the black electorate, though this seems to be the most straightforward operationalization of their theoretical mechanism. Instead, they use two indirect strategies. The first employs the variable $Income_{voter} / Income_{pop}$, an estimate of the ratio of the average voter's income to the state's overall per capita income. The second approach is simply to see if the presence of two Jim Crow disfranchising devices, poll taxes and literacy tests, negatively affected the proportion of state expenditures devoted to welfare. To do this, the authors included indicator variables taking the value 1 prior to the Civil Rights Act of 1964 and the Voting Rights Act of 1965, and 0 afterwards. The authors

[1] See Husted and Kenny's Table 5 (model 5) and Table 3 (model 5), respectively.

reasonably assume that the removal of Jim Crow disfranchising devices shifted the location of the median voter, hence equilibrium policy, left.

The key results to focus on in Husted and Kenny's regressions are the negative coefficient estimate on $Income_{voter} / Income_{pop}$ in column 1 and the negative coefficients on the literacy test and poll tax indicator variables in column 4. For Husted and Kenny, these central findings indicate that African American voting produced a "sharp increase in welfare spending."

As the results in columns 2 and 5 point out, however, these important conclusions do not hold if one looks at the South only. Note that columns 2 and 5 contain the same regression model as the columns preceding them, but restrict the sample to the eleven former Confederate states. Moreover, columns 3 and 6 indicate that if one includes the proportion of state registrants black, a direct measure of Husted and Kenny's putative causal variable, that variable is negative.[2] This suggests that the size of the black electorate *decreased* state welfare effort on average. Similar results obtain if one makes analogous changes to Husted and Kenny's log-log specification and their state-and-local expenditures regressions.

As the evidence in the main text shows, if one adds more controls to these models and accounts for serial correlation, possible non-stationarity in the data and other potential inferential threats, one finds that the data are quite at odds with Husted and Kenny's widely cited conclusion.

[2] Registration data are unavailable for Husted and Kenny's observations in the 1950s.

Table A3: Reanalysis of the impact of the size of the African American electorate on state welfare spending

	(1) Welfare Prop. (HK replication)[a]	(2) Welfare Prop.[c]	(3) Welfare Prop.	(4) Welfare Prop. (HK replication)[b]	(5) Welfare Prop.[c]	(6) Welfare Prop.
Federal grants ($1000s)	0.241***	0.623***	0.617***	0.235***	0.621***	0.606***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Personal income	2.16e-06	1.64e-05***	1.24e-05***	9.30e-07	1.68e-05***	1.21e-05***
	(0.282)	(0.000)	(0.002)	(0.642)	(0.000)	(0.003)
Income spread[d]	0.051**	0.066*	0.0582	0.0936***	0.0722**	0.0689*
	(0.025)	(0.070)	(0.119)	(9.95e-05)	(0.048)	(0.085)
Prop. Black	0.462***	0.118	0.117	0.538***	0.118	0.118
	(1.21e-06)	(0.233)	(0.239)	(2.61e-08)	(0.237)	(0.238)
Prop. 65+	0.650***	0.729***	0.834***	0.688***	0.599**	0.843***
	(0.000)	(0.008)	(0.001)	(0.000)	(0.047)	(0.003)
Prop. metropolitan	-0.020	0.344***	0.277***	-0.029	0.450***	0.306***
	(0.610)	(0.000)	(0.000)	(0.465)	(0.000)	(0.000)
Democratic control	0.007***	-0.012**	-0.006	0.008***	-0.01**	-0.006
	(0.001)	(0.018)	(0.152)	(0.000)	(0.040)	(0.162)
$Income_{voter}$ / $Income_{pop}$	-0.059**	0.089*	0.0172			
	(0.041)	(0.076)	(0.718)			
Proportion of Reg. African American			-0.203***			-0.194***
			(0.000)			(0.0001)
Literacy test indicator				-0.0171**	0.016**	0.002
				(0.022)	(0.049)	(0.814)
Poll tax indicator				-0.027***	-0.008	-0.00651
				(0.000)	(0.191)	(0.339)
State FEs	Yes	Yes	Yes	Yes	Yes	Yes
Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Sample	46 states	South	South	46 states	South	South
Observations	920	220	188	920	220	188

Table reports unstandardized OLS coefficients. All models include unreported state and year fixed effects. P-values appear in parentheses. *** p<0.01, ** p<0.05, *p<0.1. (a) Model replicates Husted and Kenny's (1997: 73) results in 1982 dollars on the entire national sample. (b) Model replicates Husted and Kenny's (1997: 72) results in 1982 dollars on the entire national sample. (c) Model estimates Husted and Kenny's results on the South-only sample.

A4. Notes on Census of Governments Data

I. Overview of Census of Governments (COG) Data

This appendix describes the COG public welfare expenditures and tax revenue data used in the empirical analysis. The COG data are available at the following url in a file titled "State_Govt_Fin.zip"
http://www2.census.gov/pub/outgoing/govs/special60/.

As noted in the text, the COG data classify expenditures by function rather than program. Thus, any one program, like AFDC or Medicaid, may have portions of its expenditures compiled under different item codes, according to the purpose toward which the appropriations were spent. The paper utilizes an expansive definition of public welfare equal to the sum of COG items 67, 68, 74, 75, and 79. Each of these is defined below in section II. This broad definition is similar to previous scholarship (e.g., Matsubayashi and Rocha 2013) that is more expansive than simply looking at AFDC expenditures or direct payments, as has been done in other previous studies (e.g., Husted and Kenny 1997). The Government Employment and Classification Manuals of 1996 and 2002 discuss how the Census Bureau classifies finances and describes in detail the differences between functions and programs. The Classification Manuals are available at the following url.
(http://www.census.gov/govs/classification/).

A comprehensive summary of how the variables are tabulated is found in: "methodology_for_summary_tabulations.xls"

II. Census of Governments State Expenditure Data

COG item #67 (*PublicWelfTotalExp*) is defined as follows.
(http://www.census.gov/govs/www/classfunc67.html)

DEFINITION: Direct payments to beneficiaries under the Federal categorical public assistance programs, Supplemental Security Income (SSI) and Aid for Families with Dependent Children (AFDC); and intergovernmental aid under the Federal Medicaid program.

EXAMPLES: Cash payments (including state supplements) by Federal Government to needy aged, blind, and disabled under the SSI program; applicable cash benefits by states under SSI program in excess of, or supplemental to, those paid by Federal Government; state government reimbursements to the Federal Government to supplement basic Federal SSI payment; cash payments by states to families under AFDC program, including related Emergency Assistance aid; Federal grants to states for reimbursement of AFDC and Medicaid benefits paid; intergovernmental payments to finance locally-administered AFDC and Medicaid programs, including any related amounts for administration and vendor payments under those programs;

intergovernmental payments to public hospitals for medical assistance (including Medicaid).

EXCLUSIONS: Cash payments to needy persons under programs other than SSI and AFDC (report at Other Cash Assistance, code E68); intergovernmental payments to finance state- or locally-administered assistance programs other than AFDC and Medicaid (usecode 68); state-only programs unrelated to SSI providing cash grants to aged, blind, or disabled (use code 68); payments directly to vendors of goods or services, including Medicaid reimbursements to private hospitals (report at Vendor Payments, codes E74 / E75); direct administration of categorical assistance programs (report at Other Public Welfare, code 79).

COG item #68 (*WelfCashTotalExp*) is defined as follows.
(http://www.census.gov/govs/www/classfunc68.html)

DEFINITION: Cash payments made directly to individuals contingent upon their need, other than those under Federal categorical assistance programs.

EXAMPLES: Poor relief; general relief; home relief; emergency relief; general assistance; refugee assistance; medical assistance, housing expense relief, energy assistance (e.g., Federal Low Income Home Energy Assistance Program, or LIHEAP), emergency assistance, etc. paid directly to individuals and not to vendors; other direct assistance to needy persons not covered by or eligible for Federal categorical assistance; payments to other governments in support of, or as reimbursement for costs of, these types of assistance programs.

EXCLUSIONS: Administration of such programs (report at Other Public Welfare, code 79); cash payments made under Federal categorical assistance programs (use code E67); payments made to vendors rather than the individuals benefited (report at Vendor Payments, codes E74 / E75); bonus payments to veterans as a class and not contingent on their need (report at Veterans' Bonuses,code E84); noncash or in-kind contributions--e.g., milk, cheese, clothing, etc. (report purchases of such items at function of contributing agency).

COG item #74 (*WelfVendPmtsMedicalE74*) is defined as follows.
(http://www.census.gov/govs/www/classfunc74.html)

DEFINITION: Payments under public welfare programs made directly to private vendors (i.e., individuals or nongovernmental organizations furnishing goods and services) for medical assistance and hospital or health care, including Medicaid (Title XIX), on behalf of low-income or other medically-needy persons unable to purchase such care.

EXAMPLES: Payments to private vendors for: physician and other professional medical services, private hospital care, drugs and medicines, dental services, long-term health care (including hospices), home health care, dialysis treatment,

medical appliances (e.g., prostheses), ambulatory care, laboratory services, eyeglasses and hearing aids, and so forth; premiums paid to insurers for future medical costs of needy persons. Includes all direct payments to private hospitals or health care providers under Medicaid, general relief, public assistance, and any other Federal or state welfare program.

EXCLUSIONS: Direct payments to benefited persons themselves (report at Other Cash Assistance Payments, code E68); administrative activities, setting of provider fees and rates, establishing standards, etc. (report at Other Public Welfare, code 79); intergovernmental payments to other public hospitals for medical assistance under public welfare programs (report payments from Medicaid funds at Federal Categorical Assistance Programs, code 67, and payments from all other funds at code 79); medical commodities, services, or other assistance provided through government's own hospitals or health agencies (report at Health, codes 28 / 32, or Own Hospitals, codes 36 / 37); state payments to finance locally-administered medical assistance (Medicaid) programs (report at code 67 [sic]); premiums for health insurance coverage for government's employees (report at function of paying agency or, if a government-wide payment, at Other and Unallocable, code 89).

COG item #75 (*WelfVendPmtsNECE75*) is defined as follows.
(http://www.census.gov/govs/www/classfunc75.html)

DEFINITION: Payments under public welfare programs made directly to private vendors (i.e., individuals or nongovernmental organizations furnishing goods and services) for services and commodities, other than medical, hospital, and health care, on behalf of low-income or other needy persons unable to purchase such goods and services.

EXAMPLES: Payments to private vendors for : funeral or burial services, food, clothing, home heating fuel, weatherization of homes, winter energy assistance, and the like.

EXCLUSIONS: Direct payments to the benefited persons themselves (report at Other Cash Assistance Payments, code E68); administrative activities related to payments (report at Other Public Welfare, code 79); legal services and public defense including stipends to court-appointed attorneys (report at Judicial and Legal, code 25); reimbursements effected through tax credits for the benefited person (treat as a deduction to tax revenue); commodities or other services and assistance provided through a government's own agencies (report at function involved); rent subsidies to landlords including "Section 8" lower income housing assistance (report at Housing and Community Development, code 50).

COG item #77 (*WelfInsTotalExp*) is defined as follows.
(http://www.census.gov/govs/www/classfunc77.html)

DEFINITION: Provision, construction, and maintenance of nursing homes and welfare institutions owned and operated by a government for the benefit of veterans or needy persons (contingent upon their financial or medical need).

EXAMPLES: Public nursing homes; veterans' homes; soldiers' homes; orphanages; homes for the elderly or aged; indigent care institutions (non-hospitals).

EXCLUSIONS: Hospitals and institutions for the handicapped, crippled, developmentally-disabled, veterans, etc. (report at Own Hospitals, codes 36 / 37); institutions for the blind, deaf, or other impairments primarily for education or training (report at Other Education, code 21); provision of care of needy persons in private institutions or homes (report at Other Public Welfare, code 79); support of privately-operated welfare facilities (use code 79); nursing homes directly associated with a public hospital (use code 36); distinctive educational services limited to needy persons--e.g., education of orphans in schools (report at appropriate Education function, codes 12-21).

COG item #79 (*WelfNECTotalExpend*) is defined as follows.
(http://www.census.gov/govs/www/classfunc79.html)

DEFINITION: Public employment for all public welfare activities and expenditures for welfare activities not classified elsewhere.

EXAMPLES: Administration of: medical and cash assistance, general relief, vendor, and other welfare programs; regulation and support of private welfare institutions and activities; all intergovernmental payments for welfare other than for cash assistance programs; children services, such as foster care, adoption, day care, nonresidential shelters, and the like; activities supported by Federal Social Services Block Grant (Title XX) funds; low-income energy assistance and weatherization (note - administrative expenditure only - Code 68 for assistance payments); welfare-related community action programs; social services to the physically disabled, such as transportation; temporary shelters and other services for the homeless; intergovernmental payments to public hospitals for medical assistance other than under the Medicaid program.

EXCLUSIONS: Benefits not contingent upon need, such as bonuses or payments to veterans as a class (use code E84), pensions to former employees (use code X11), and the like; public defenders and indigent legal defense (report at Judicial and Legal, code 25); health and hospital care provided to needy or homeless through government's own hospitals or health agencies and payments to other governments for such purposes (report at appropriate Health or Hospitals function); medical assistance paid directly to private hospitals (use code E74) or to public hospitals under the Medicaid program (use code 67); activities funded by Federal WIC funds--Women, Infants, and Children (report at Health, code 32).